

this standard should give the best account of themselves in the open market during a period of 6 months to 18 months, regardless of the trend of the market as a whole. This, as a matter of fact, is a result that has been proved in experience. That is to say, the stocks most deeply undervalued and therefore most strongly to be recommended have, as a class, outperformed in the market the stocks that, as a class, merit a lower recommendation, and those that merit the second best recommendation have outperformed as a class those that merited the third class recommendation, and so on. In short, it is possible by this method to separate the sheep from the goats in the market, according to value. This is not to say that every stock that merits the strongest recommendation will outperform every stock that deserves the second strongest recommendation, but it is to say that, taken as a group, the most strongly recommended stocks outperform, in a practical market sense, the stocks that are in a less favorable position relative to an objective mathematical standard of value, and this happens consistently, as audited records prove.

The writer is of the opinion that the differences between actual market price and the standard of value expressed in the Value Line rating can be very largely explained in terms of market sentiment. One good measure of market sentiment is the ratio of stock yields to bond yields. If such an average ratio be inserted into the equation as a fifth independent variable, the correlations emerge as almost perfect. (Coefficients of determination as high as 0.96 are not infrequent, and nearly all stock equations have an R^2 of over 0.85.) All this seems to mean, at first blush, is that, if one can predict where the stock market averages and the interest rate will be next year, he can forecast pretty accurately where the price of a particular stock will be too, if he can forecast its earnings and dividends. Actually, though, the exercise is more promising than at first appears, because, for one thing, the stock-bond yield ratio lends itself to forecast better than the stock market averages alone, and, second, even if not fore-